

RETAIL BANKING PRIMER



RETAIL BANKING: PRODUCTS & SERVICES

PRODUCT EXAMPLES

DEPOSITS

CHECKING

CERTIFICATE OF
DEPOSITS (CDS)

SAVINGS

LENDING

SECURED

HOME
MORTGAGES

AUTO LOANS

UNSECURED

CREDIT CARDS

RETAIL BANKING: PRODUCTS & SERVICES

Deposits offer 3 main benefits: low risk, easy access, and paying interest on deposited funds. Different deposit products differ based on these last 2 factors

- **Savings accounts** pay moderate interest and have limits on how many withdrawals can be made each month. Most charge a small monthly service fee but waive the fee if a minimum balance is maintained
- **Certificates of Deposit (CDs)** offer a higher interest rate for a specific period of time, anywhere from a few months up to 10 years; however, you aren't allowed to access your money during that time without paying a penalty
- **Checking Accounts** offer little to no interest, but also don't have withdrawal limits. Consumers rarely switch banks for checking accounts once direct deposits are set up.

Lending products can be split into **secured** and **unsecured** products:

- **Secured** lending involves some form of **collateral**, which the bank will take ownership of if the borrower can't make their payments and "defaults" on their debt. Collateral leads to lower interest rates for consumers
 - **Home mortgages** are the most common secured lending. Because of the large dollar amounts and the level of risk involved, assessing that risk, known as **underwriting**, is a highly regulated process
 - **Auto loans** have much simpler underwriting, as cars are cheaper and easier to repossess than houses
- **Unsecured** lending has no collateral and, therefore, higher interest rates
 - **Credit cards** are issued based on a consumer's credit score and credit history. Interest rates vary based on individual credit score. In addition to the money that banks make from interest payments and monthly service fees, they also make money from credit cards through **interchange fees** charged to the merchant

RETAIL BANKING: SALES & DISTRIBUTION

Historically, banks were a fundamentally “physical” experience, consisting of cash deposits at local bank **branches**

- Banks competed largely based on **geographic footprint**, as consumers wanted banks with locations close to their homes
- Secured lending products were highly **relationship-driven**. Home realtors and auto dealers often recommend specific banks that they’ve worked with in the past, so it’s important for banks to invest in those distribution channels

The modern **digital banking** experience has shifted almost all banking experiences online:

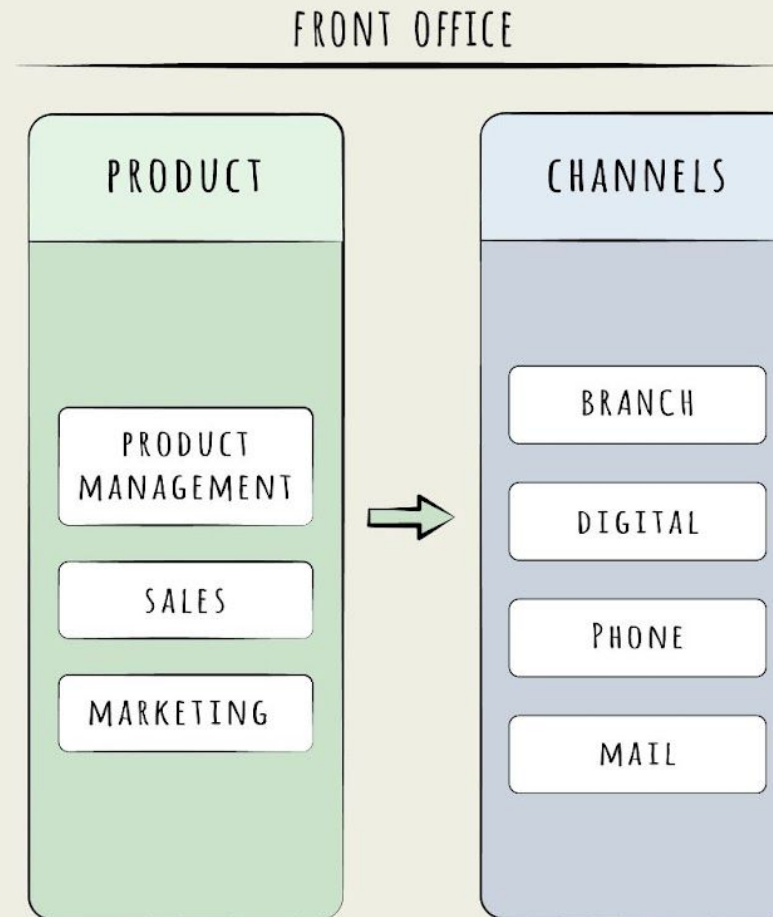
- Initial deposits can be made through digital transfers, not requiring cash or checks. For secured lending, consumers visit aggregation sites that compare mortgage rates, and they can start an application with just a few clicks. Documentation can be uploaded to secure portals, and digital signatures are collected
- In this new digital world, consumers care less about a bank's physical network, and care more about the numbers - where can they get the highest deposit interest, lowest lending interest, and fewest fees?

This has significantly **increased competition** among banks. Banks without a branch network can now target these customers online. And given the massive cost-savings from not having a physical network, they can offer substantially better rates

Despite the benefits for customers and the cost savings for banks, digital transformation has not entirely eliminated the physical banking experience

- Small businesses still deal with a large amount of cash, and there are regulatory limits on how many checks can be deposited remotely over a given period
- Bank branches are now focusing more on high-value transactions, such as wealth advisory and investment management

RETAIL BANKING: ORG & OPERATIONS – FRONT OFFICE



RETAIL BANKING: ORG & OPERATIONS – FRONT OFFICE

Front office refers to everything that is “customer-facing”

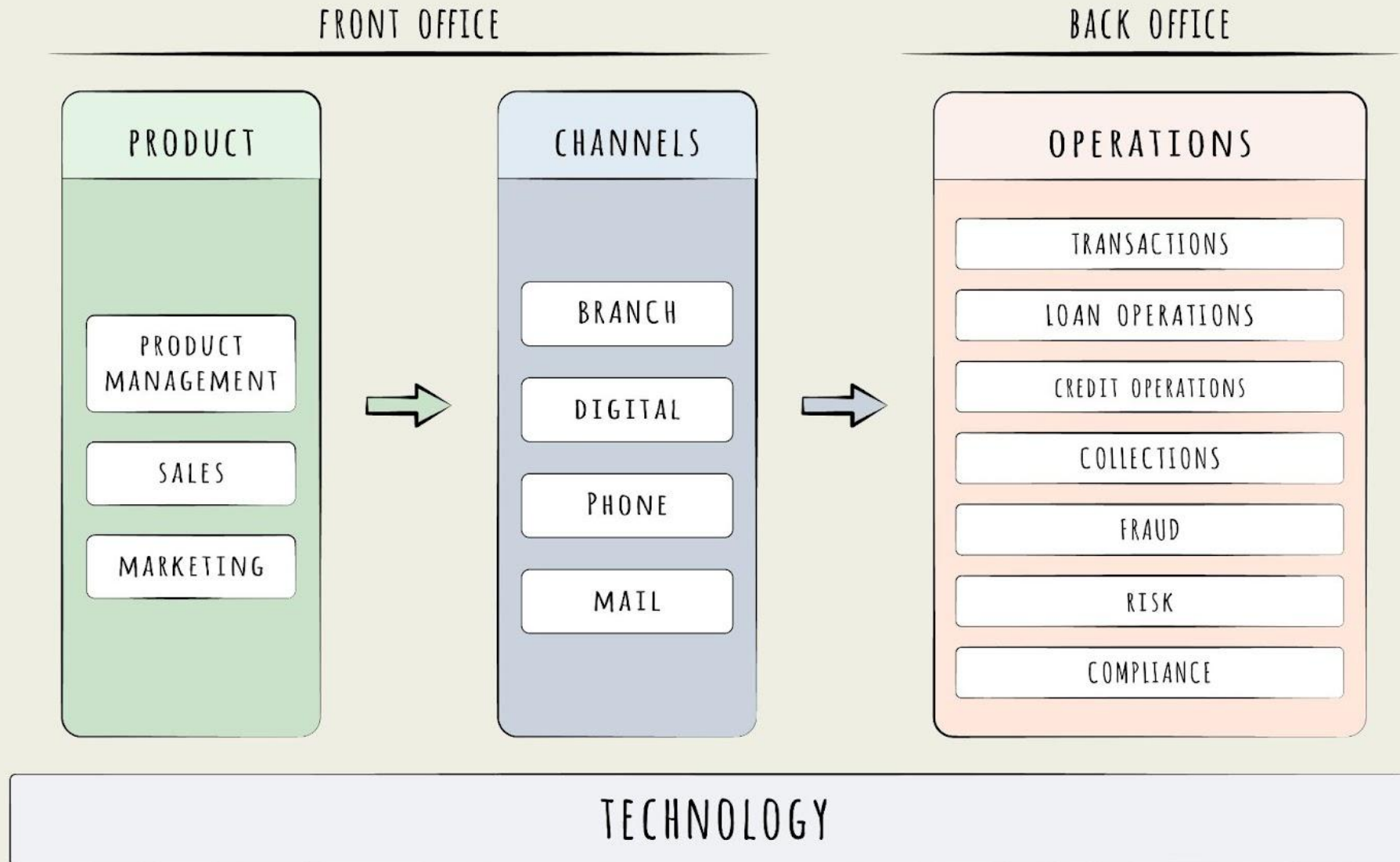
This starts with the **Product Lines**:

- **Product Management** teams determine which new products to launch, what features to include, and who to target. In many banks, they also set the strategy, determining what capabilities the bank invests in
- Each product line is supported by **Marketing & Sales** teams. Banks spend a substantial amount on marketing, largely in the form of customer incentives, such as waived fees, cash bonuses, and credit card rewards

Banks use a variety of **channels** to reach customers:

- Bank **branches** remain the largest employment group within banks, serving as front-end input to back-office operations
- However, the value of **digital banking** is that it allows consumers to plug directly into these back-end systems through front-end applications and portals, creating a much cheaper and more streamlined experience
- **Call centers** still play a critical role in customer service. While many issues can now be handled online or through mobile, for the most sensitive issues such as fraud and identity theft, many customers feel more secure talking to human beings
- Outbound **mail** continues to be used for new customer sales, especially for credit cards. While the response rate on mailers is very low, the high lifetime value of each converted customer more than pays for the overall mailing operation

RETAIL BANKING: ORG & OPERATIONS – BACK OFFICE



RETAIL BANKING: ORG & OPERATIONS – BACK OFFICE

- **Transaction processing**
 - Manages account opening, deposits / withdrawals / transfers, card purchases, bill payments, etc. While much is automated, manual intervention is frequently required
- **Loan operations**
 - *Loan officer* initiates the loan; *loan processors* collect documents needed for underwriting, and coordinate title, insurance, and appraisal; *underwriting team* makes actual approval decision; after closing, *loan servicing group* handles payments, customer service, and loan defaults
- **Credit operations**
 - Manage credit card approvals based on external credit information
- **Collections**
 - Handles collection of lending payments, service fees, and account penalties such as overdraft fees, as well as follow-up on any missed payments; last line of defense to help manage credit losses
- **Fraud prevention**
 - Assess suspicious activity flagged by automated transaction monitoring systems
- **Risk**
 - Manage *credit risk*, *market risk*, *liquidity risk*, and *operational risk*
- **Compliance**
 - Ensures bank is abiding by all the rules & regulations of the markets they are present in
 - Growing cost center, at ~5-10% of bank revenue
- **Technology**
 - Examples: product processors, credit engines, fraud and compliance monitoring engines
 - Some of these legacy systems have been around for decades, but are too risky to update or replace

RETAIL BANKING: REGULATION

Regulators want to make sure that banks will remain solvent, are not taking advantage of customers, and aren't unintentionally supporting illegal activities. A few examples of regulations from the US retail banking market:

- **Consumer communications** – *Regulating disclosures and advertising to ensure transparency*
 - The *Consumer Financial Protection Bureau* has strict guidelines that aim to ensure consumers are properly informed about financial products and services before they buy them
 - This includes requirements that advertisements cannot be “misleading or inaccurate,” and gets as specific as how interest rates must be defined and communicated
- **Know Your Customer (KYC)** - *Verifying customer identity*
 - To ensure banks are not unintentionally supporting crimes such as financial fraud or identity theft, banks are required to verify the identity of each of their customers before they open an account
 - Customers are placed into different risk segments based on their profiles; the accounts of HNWIs and small businesses are more closely monitored, as they typically deal with larger deposits and more complicated transactions
- **Anti-Money Laundering (AML)** – *Automated review of all banking transactions*
 - Banks are required to monitor ALL transactions of ALL customers to track for illegal activity such as tax evasion and drug trafficking
 - Banks run customers' transactions through their AML systems, which look for any financial transaction that is unusual for that particular client or appears to be hiding a different transaction

Some of the other **major regulators** globally include: *US Federal Reserve, European Banking Authority, Financial Conduct Authority* in the UK, and the *China Banking and Insurance Regulatory Commission*

RETAIL BANKING: COMPETITION

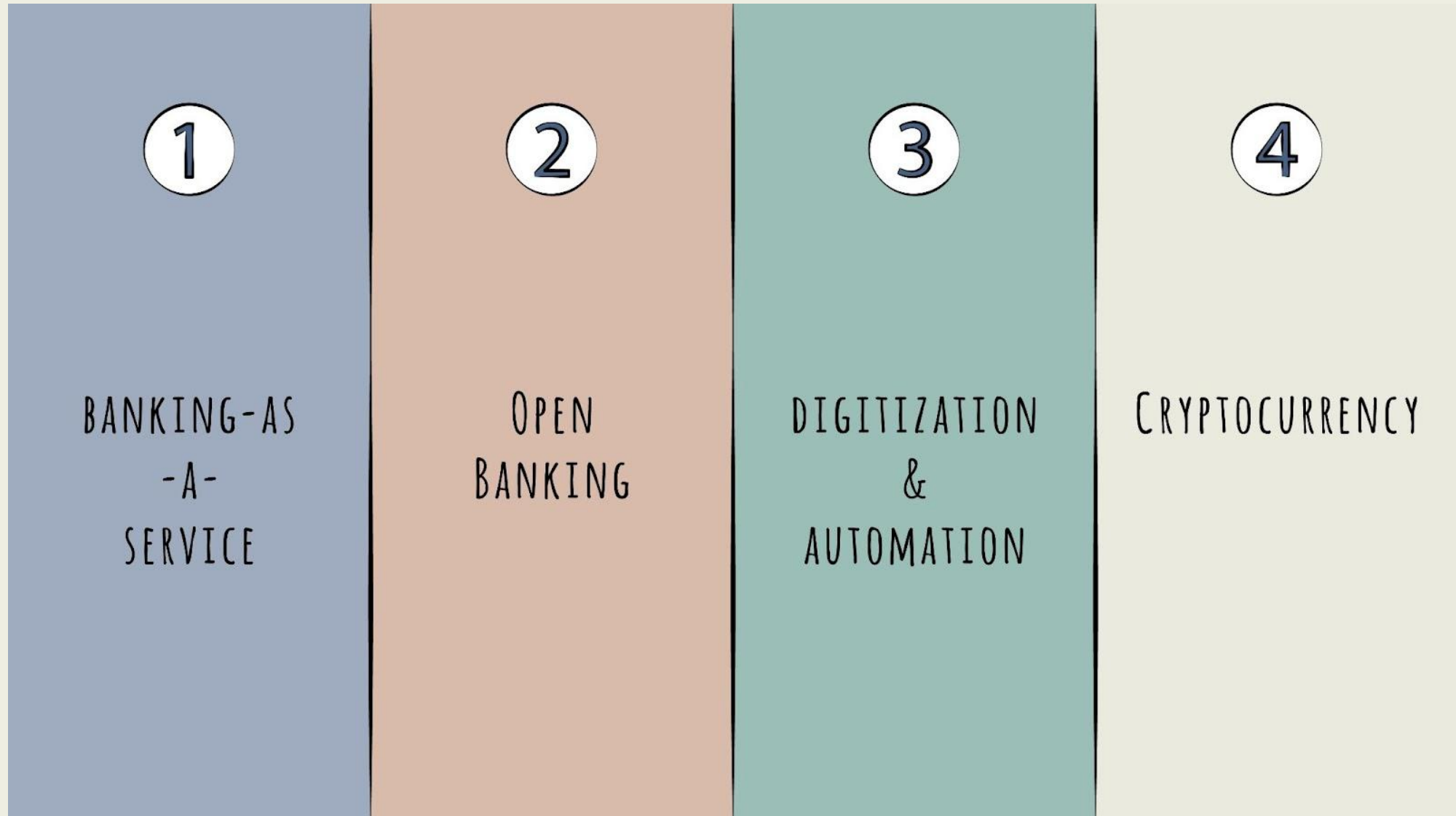
Competition in retail banking has intensified in the age of the internet. Banks are not only competing more with each other, but also face new threats from the tech industry as well

- **Incumbent competition** – Retail banking is dominated by a few mega banks in each market. Historically, competition was based on geography, and growth was driven by mergers and acquisitions. With digital banking, all banks compete with each other, and “win” by offering the best rates and lowest fees
- **“Digital-only” banks** – Banks without the costs of a branch network can offer more competitive interest rates and fees to consumers. They also aren’t constrained by legacy infrastructure, and typically have simpler customer platforms
- **Fintechs** – Companies like Paypal, Stripe, and Venmo offer digital alternatives to credit card payments, for both merchant transactions and peer-to-peer transfers. This has accelerated the decline of cash usage, and could threaten banks’ interchange fees in the long term
- **Big tech** – Apple, Google, Facebook, and Amazon have all entered into payments in some form, but the big threat from big tech comes from their scale (both in terms of customers and balance sheets)
- The scope of fintech / big tech threat has so far been contained to “front-end” experiences, as most lack a banking license, and must partner with a bank for the back-end operation; high regulatory complexity creates a competitive moat

Retail banks are responding in three main ways:

1. Focusing their offerings in fee-based services like wealth & investment management
2. Building their own digital capabilities to compete with fintech players (example: Zelle)
3. Partnering with big tech companies to serve as the back-end for things like “buy now, pay later,” using big tech as a distribution channel to cross-sell customers other financial services over time

RETAIL BANKING: TRENDS



RETAIL BANKING: TRENDS

Technology advancements have completely transformed retail banking, for both consumers and banks, and these changes will only accelerate in the future. Let's look at four major tech trends:

- **Banking-as-a-service** – *Banks offer back-office capabilities to third parties for white-label banking services*
 - The third-party's front-end platform gets connected directly to the bank's back-end systems, allowing them to provide digital banking and payment services directly to their customers
 - These arrangements allow the banks to leverage their third-party partners as low-cost distribution channels while also reducing their own tech development costs
- **Open banking** – *Allows consumers to give third parties access to their consumer banking data through APIs*
 - For banks, open banking brings both opportunities and threats. They get access to more consumer information, but so do their competitors; the winners are those who can innovate fastest
- **Digitization & automation** – *Digital transformation shift from front-end customer experience to back-office systems*
 - Automation technology is improving: robotic process automation, optical character recognition, electronic signatures, etc. And each digitized process generates additional data to feed back into expanding AI and machine learning tools, which will further accelerate this automation
- **Cryptocurrency** – *Decentralized digital currency encrypted on blockchain technology*
 - While the total market capitalization for cryptocurrency currently exceeds \$1T, it still largely only serves as an alternative investment vehicle. However, cryptocurrency has big disruption potential. It lives outside the banking system, threatening interchange and foreign exchange fees, as well as macro-level deposit balances
 - Fortunately, major disruption is still far away; compared to traditional currency, cryptocurrency is slow, lacks a stable value, and is highly energy-intensive

GLOSSARY

- **Anti-Money Laundering (AML)** – The compliance rules and protocols that require banks to detect and report suspicious transaction activity that could potentially be illegal activity, such as money laundering
- **Certificates of Deposit (CDs)** – Deposit products offering a higher interest rate for a specific period in which you aren't able to access your money during that time without paying a penalty
- **Collections** – Operation handling collection of loan payments, service fees, and account penalties
- **Know Your Customer (KYC)** – The regulation that requires banks to verify the identity of each of their clients
- **Open banking** - The use of open APIs by financial institutions that allow third-parties to build applications and services around their financial offering
- **Secured lending** – Lending involving some form of collateral, which the bank will take ownership of if borrowers can't make their payments
- **Transaction processing** – Back-office operation that manages account opening, deposits, withdrawals, transfers, card purchases, and bill payments